CONTAINER SHIPPING · HONG KONG · HKEX: 316

Orient Overseas (International)

The highest value score in our universe, on peak-cycle earnings: a call on freight rates, not a cheap compounder

● UNDERWEIGHT | Case study: cyclical trap | 12 months

THE CALL	CLOSE, 29 OCT 2026
Rating	● UNDERWEIGHT
Price	HK$153.30
Base-case value P/E on normalised earnings	HK$123.92
Upside to base case	−19%
Market cap	HK$101.2bn
52-week range	HK$117.90 – HK$178.90

01 Overview

OOIL is the second case study in this set. It had the highest value score in our whole developed-market universe in December 2025 (z-score +5.5, ranked first of 199 Industrials) and shows why trailing multiples mislead in cyclical industries. This note explains how a container line makes money, why its profits swing so much, and how to normalise earnings before calling a cyclical stock cheap.

> OOIL (OOCL) had the top score of our entire universe in December 2025. The screen saw a P/E under 4x on FY2024 profit; FY2025 profit then fell 41% and H1 2026 another 24%. A 2026 war shock lifted freight rates again, but on normalised earnings the stock is not cheap. We hold the model weight floor and expect mean reversion.

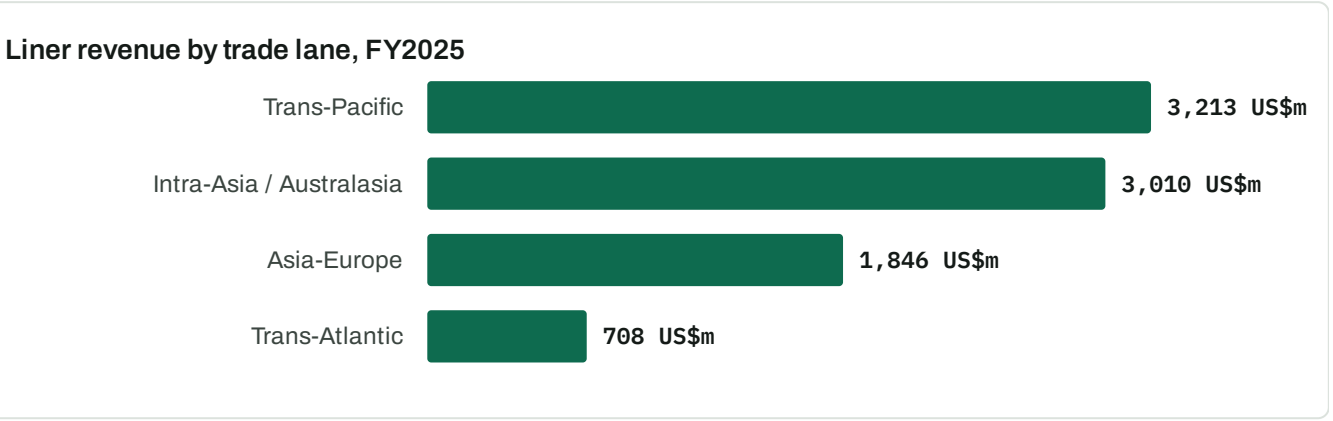
MARKET CAP	NET CASH (JUN 2026)	FORWARD P/E (THIRD-PARTY)	DIVIDEND YIELD (TRAILING)
HK$101bn	US$4.5bn	8.0x	5.8%

02 The business

OOIL owns OOCL, a container shipping line. It moves standard containers (measured in TEU, twenty-foot equivalent units) on fixed routes between Asia, North America and Europe. Revenue is the number of containers carried (liftings) times the freight rate per container.

Costs are mostly fixed in the short run: ships, crews, port charges and fuel. So when freight rates double, almost all the extra revenue becomes profit, and when rates fall, profits collapse. That operating leverage is why profit went from about US$0.2bn (2019 operations) to US$10bn (2022) and back to US$1.5bn (2025).

COSCO Shipping, a Chinese state-owned group, controls 71% of OOIL. The group has no bank debt and a large cash pile, but it is spending heavily on new ships (contracted capex of US$5.45bn at June 2026), much of it at COSCO-linked yards.



Container shipping (OOCL)

A pure-play liner: 139 vessels and 1.15m TEU of capacity at end-2025, member of the Ocean Alliance.

Trade lanes

Trans-Pacific (most US policy exposure), Asia-Europe, Trans-Atlantic and Intra-Asia (most volume).

Control

COSCO Shipping holds 71.07% and Shanghai International Port Group 9.06%: the free float is about 20%.

Balance sheet

No bank debt; US$5.8bn of cash against US$1.3bn of lease liabilities at June 2026.

03 Industry & macro

Freight rates depend on the balance between ship supply and trade demand, and on disruptions that lengthen routes. Since 2024 ships have avoided the Red Sea and sailed around the Cape of Good Hope, which absorbs capacity. In 2026 the US-Iran war disrupted the Strait of Hormuz and Asia-US spot rates more than doubled.

Underneath, the industry is oversupplied: the fleet grows 4.6% in 2026 against 4.1% demand growth, with large orderbooks still to deliver. When ships return to Suez, effective capacity jumps and rates fall.

US policy adds risk for a Chinese-controlled carrier. Section 301 port fees of US$50 per net ton took effect in October 2025, were suspended for a year in November 2025, and may resume on 10 November 2026.

FREIGHT RATES

+109%

Asia-US spot rates by early June 2026 after the Hormuz disruption (Cape routing again).

FLEET VS DEMAND

4.6% vs 4.1%

2026 fleet growth ahead of demand growth: the structural pressure on rates.

US PORT FEES

10 Nov 2026

Section 301 fees on Chinese operators (US$50 per net ton) resume unless extended.

BUNKER FUEL

US$582/t

Average H1 2026 cost (+8%): the largest variable cost.

04 What happened

The events that shaped the stock, in order.

14 Oct 2025
US Section 301 port fees on Chinese operators take effect

10 Nov 2025
Fees suspended for one year (US-China truce)

28 Feb 2026
US-Iran war begins; Hormuz disrupted

Mar 2026
FY2025 results: profit −41%, final dividend US$0.42

Apr 2026
12 × 13,600 TEU LNG dual-fuel ships ordered

27 Aug 2026
H1 2026: profit US$728m (−24%)

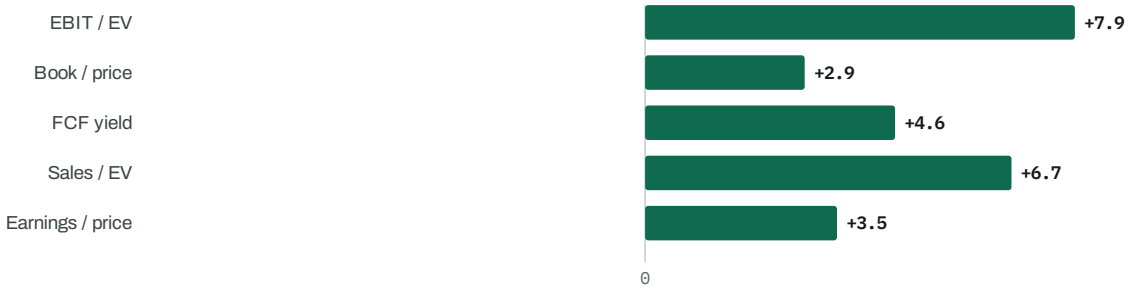
9 Oct 2026
Q3 update: liner revenue +45.1%, revenue per TEU +33.1%

05 Why the screen picked it

On the December 2025 score OOIL had z-scores of +7.9 on EBIT-to-EV, +6.7 on sales-to-EV, +4.6 on FCF yield, +3.5 on earnings-to-price and +2.9 on book-to-price within Industrials. EV/EBIT was 1.6x: net cash shrinks the enterprise value and FY2024 EBIT inflates the denominator. Equal weight gives every holding 2%, and mean-variance gave OOIL the 4% cap.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+5.54	**FY to 2024-12**	**2.0% / 1.8% / 4.0%**	**+0.4%**
rank 1 of 199 in Industrials	year-end + 6-month lag	equal · min-var · mean-var	benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	ORIENT OVERSEAS (INTERNATIONAL)	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	1.63x	13.03x	21.25x
P/B	0.71x	0.62x	4.44x
P/FCF	4.11x	6.45x	23.39x
EV/Sales	0.28x	1.18x	3.10x
P/E	3.80x	4.08x	23.54x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2022-12, 2024-06, 2025-06, 2025-12.

06 Investment thesis

01 Why the model bought it

With a six-month lag, the December 2025 score used FY2024 accounts: EBIT of US$2.6bn. FY2025 then delivered US$1.5bn. On the earnings actually being produced the stock was about 40% less cheap than the screen showed.

02 Earnings are a freight rate times a volume

Profit rose more than 60-fold from the 2019 operating base to the 2022 peak, then fell 86% in a year. A screen that buys the lowest trailing P/E in shipping buys just after peak earnings.

03 2026 was rescued by a war, not by value

The US-Iran war and Hormuz disruption pushed Asia-US rates up 109% by June 2026 and Q3 liner revenue up 45%. Fleet growth (4.6%) still runs ahead of demand (4.1%), and ships are returning to Suez.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
"Net cash of US$4.5bn makes it safe."	Yard and charter commitments (~US$7.5bn) exceed net cash; FCF after leases was negative in 2025 and H1 2026.
"The dividend yield is attractive."	Dividends follow profits: US$10.56 per share in 2022, US$1.14 in 2025. A trailing yield overstates future income.
"Q3 2026 shows a new up-cycle."	The spike is geopolitical. Port fees on Chinese operators may return on 10 November 2026.

08 Financials

LINE	FY2024	FY2025	H1 2026	TREND
Revenue	US$10.7bn	US$9.7bn	US$5.2bn	Q3 liner rev. +45%
Operating profit	US$2.62bn	US$1.54bn	US$0.72bn	—
Operating margin	24.6%	15.9%	13.9%	—
Profit attributable	US$2.58bn	US$1.51bn	US$0.73bn	—
EPS	US$3.90	US$2.29	US$1.10	—
DPS	US$1.95	US$1.14	US$0.55 interim	payout ~50%
Net cash (cash – leases)	—	US$4.96bn	US$4.51bn	—

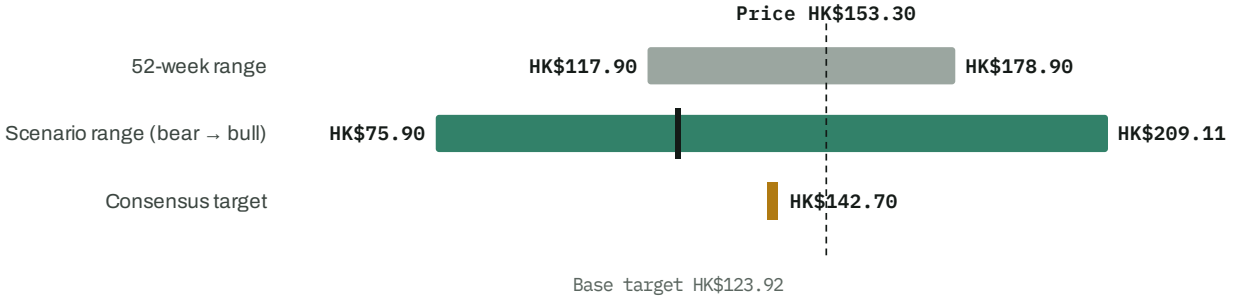
No numeric guidance. FCF after lease payments was about –US$0.69bn in 2025 and –US$0.35bn in H1 2026 (derived). Sources: OOIL annual report 2025 and interim report 2026.

09 Valuation

Method: P/E on normalised earnings. For a liner, value the average year, not the last one. We average profit over 2019-2025 excluding the 2021-22 supercycle and the 2019 one-off gain (about US$1.3bn, or US$1.99 per share), then apply 7-9x and convert at HK$7.8 per US$.

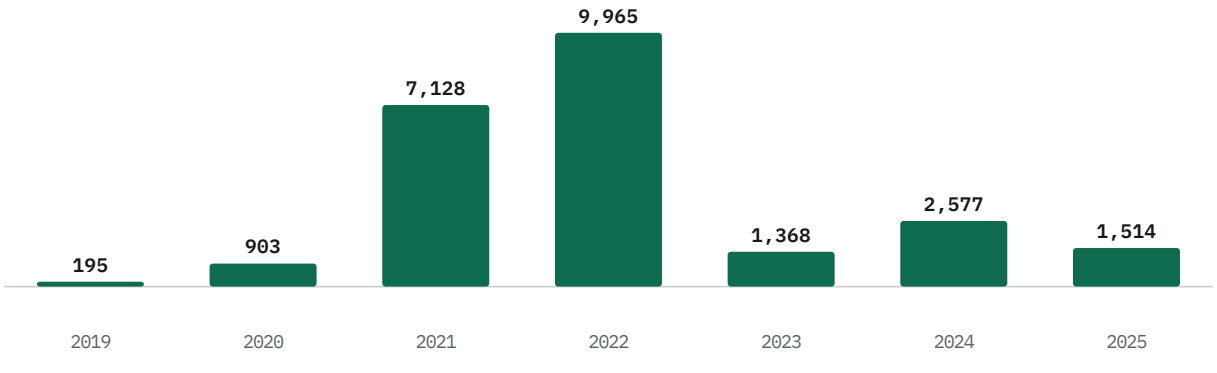
SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	US$1.39 EPS × 7x	HK$75.90	−50%	Suez reopens fully; overcapacity
Base	**US$1.99 EPS × 8x**	**HK$123.92**	**−19%**	**Normalised earnings, normal multiple**
Bull	US$2.98 EPS × 9x	HK$209.11	+36%	Disruption persists; capacity absorbed

Valuation range · base case marked



Consensus target: HK$142.70 (–7%). Rating thresholds: Overweight above +15%, Neutral –10% to +15%, Underweight below –10%.

Profit attributable through the cycle · US$m



Normalised profit excludes 2021, 2022: US$1,311m, or US$1.99 per share.

10 Catalysts

10 Nov 2026
US port fees on Chinese operators resume or are extended

10 Jan 2027
US-China truce expiry

Mid-Jan 2027
Q4 2026 operational update

Mar 2027
FY2026 results and new dividend policy for 2027+

Spring 2027
Trans-Pacific annual contract season

11 Risks & sell rules

RISK	MITIGANT
Disruption lasts longer (Hormuz, Cape routing)	Underweight, not short: we hold the model weight
Special dividend from the cash pile	Possible under the payout policy; would narrow the gap
COSCO-related capital allocation	Governance set by the parent; thin float
US-China policy swings	Fees and tariffs cut both ways

WE CHANGE THE CALL IF

- We would turn positive if the price fell below normalised value (about HK$124)
- Or if the orderbook were cut and the cash returned to shareholders
- Or if structural capacity discipline emerged across the industry

The bull case, taken seriously

The bull case deserves respect: if disruption persists and rates stay high, H2 2026 earnings exceed H1, the forward P/E is about 8x and the cash could fund a special dividend. That is why we are underweight rather than short.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why is a stock with a P/E under 4x not cheap?

Because the 'E' is a peak. Normalised over the cycle, profit is about US$1.3bn and the stock trades near 10x.

Q What does this case teach about your model?

A value composite needs a cyclical adjustment, such as normalised or average earnings for deep cyclicals.

Q What would change your view?

A price below normalised value, an orderbook cut with cash returned, or real capacity discipline.

Q Why Underweight and not Sell?

Disruption can last and the cash could come back as a special dividend. The risk is asymmetric but not one-way.

13 Glossary

TEU	Twenty-foot equivalent unit: the standard measure of container volume.

Liftings	Number of containers carried in the period.
Normalised earnings	Average earnings over a full cycle, used to value a cyclical company.
Operating leverage	High fixed costs mean small revenue changes produce large profit changes.

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Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Maersk, NYK, Mitsui OSK, Kawasaki Kisen (pipeline peer set); COSCO Shipping, Hapag-Lloyd, Evergreen for context.

Student research for educational and interview purposes. Not investment advice. Prices as of close, 29 Oct 2026.